

Chapter Review

1-6f Discussion Questions

1. Name some users of accounting information.
2. What is the role of accounting in business?
3. Why are most large companies like **Microsoft (MSFT)**, **PepsiCo (PEP)**, **Caterpillar (CAT)**, and **AutoZone (AZO)** organized as corporations?
4. Josh Reilly is the owner of Dispatch Delivery Service. Recently, Josh paid interest of \$4,500 on a personal loan of \$75,000 that he used to begin the business. Should Dispatch Delivery Service record the interest payment? Explain.
5. On July 12, Reliable Repair Service extended an offer of \$150,000 for land that had been priced for sale at \$185,000. On September 3, Reliable Repair accepted the seller's counteroffer of \$167,500. Describe how Reliable Repair Service should record the land.
6.
 - a. Land with an assessed value of \$750,000 for property tax purposes is acquired by a business for \$900,000. Ten years later, the plot of land has an assessed value of \$1,200,000 and the business receives an offer of \$2,000,000 for it. Should the monetary amount assigned to the land in the business records now be increased?
 - b. Assuming that the land acquired in (a) was sold for \$2,125,000, how would the various elements of the accounting equation be affected?
7. Describe the difference between an account receivable and an account payable.
8. A business had revenues of \$679,000 and operating expenses of \$588,000. What was the amount of (a) net loss or (b) net income?
9. A business had revenues of \$640,000 and operating expenses of \$715,000.

What was the amount of (a) net loss or (b) net income?

10. The financial statements are interrelated. (a) What item of financial or operating data appears on both the income statement and the statement of stockholders' equity? (b) What item appears on both the balance sheet and the statement of stockholders' equity? (c) What item appears on both the balance sheet and the statement of cash flows?

Chapter 1: Introduction to Accounting and Business: 1-6f Discussion Questions

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